Department of Education
SCHOOLS DIVISION OF CITY OF MEYCAUAYAN
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Senior High School

12

Activity Sheet in

Applied Economics

Quarter 1 – Module 1:

Differentiate various market structures in terms of:

a. number of sellers b. types of products

c. entry/exit to market d. pricing power

e. others (ABM_AE12-Ie-h-7)

LET US KNOW

Microsoft

CALTEX
PHOENIX
SEAOIL

What are these products for? How these products differ from each other? What are the factors have you considered in differentiating these products?

LET US REVIEW

Multiple Choice.

1. Price controls are usually enacted _____.

a. as a means of raising revenue for public purposes.
b. when policymakers believe that the market price of a good or service is unfair to buyers or sellers.
c. when policymakers detect inefficiencies in a market.
d. All of the above are correct.

2. Consumer surplus is _____.

a. the amount a buyer is willing to pay for a good minus the amount the buyer actually pays for it.
b. the amount a buyer is willing to pay for a good minus the cost of producing the good.
c. the amount by which the quantity supplied of a good exceeds the quantity demanded of the good. d. a buyer's willingness to pay for a good plus the price of the good.

3. When the demand for a good increase and the supply of the good remains unchanged, consumer surplus_____.

a. decreases.
b. is unchanged.
c. increases.
d. may increase, decrease, or remain unchanged.

4. It is a government- or group-imposed price control or limit on how low a price can be charged for a product, good, commodity, or service.

A. Price floor B. Price ceiling C. Price equilibrium D. Price tag

5. It is a situation where the price charged is more than or less than the equilibrium price determined by market forces of demand and supply.

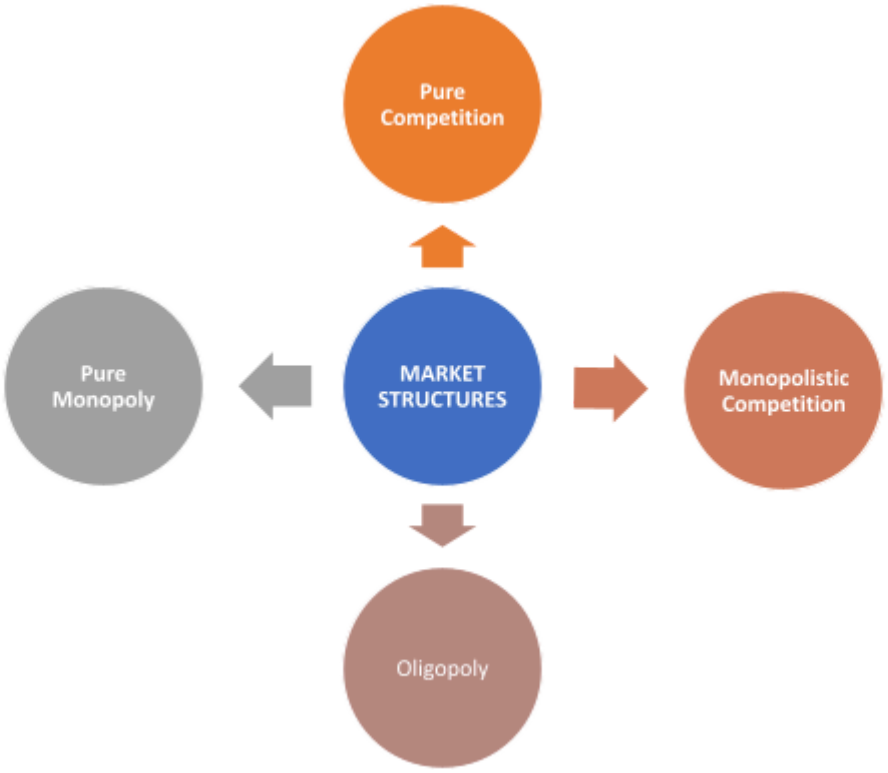
A. Price floor B. Price ceiling C. Price equilibrium D. Price tag

LET US STUDY

What Are Market Structures?

"Market structures" refer to the different market characteristics that determine relations between sellers to each another, of sellers to buyers and more. There are several basic defining characteristics of a market structure, such as the following:

- The commodity or item that's sold and the extent of production differentiation.
- The ease or difficulty of entering and exiting the market.
- The distribution of market share for the largest firms.
- The number of companies in the market.
- The number of buyers and how they work with or against the sellers to dictate price and quantity.
- The relationship between sellers



Types of Market Structures

There are four basic types of market structures.

Pure Competition

Pure or perfect competition is a market structure defined by a large number of small firms competing against each other. A single firm doesn't have significant marketing power, and as a result, the industry produces an optimal level of output because firms don't have the ability to influence market prices. Supply and demand determine the amount of goods and services produced, along with the market prices set by the companies in the market. Products are identical to competitors' products, and there are no significant barriers to entering and exiting the market.

The pure competition market structure is rare in the real world. This is a theoretical model that is helpful when looking at industries with similar characteristics. In other words, it's a good reference point for other market structures. The best examples of pure competition market structures are stock, agricultural and craft markets

Monopolistic Competition

Like pure competition, monopolistic competition is a market structure referring to a large number of small firms competing against each other. However, firms in monopolistic competition sell similar but highly differentiated products. Lowest possible cost production, which leads to optimal output in a pure competition market structure, is not assumed.

These factors give firms in a monopolistic competition market power to charge higher prices within a certain range. The products are remarkably similar, but small differences become the basis for firms' marketing and advertising. Differentiation can include style, brand name, location, packaging, advertisement, pricing strategies and more.

Examples include fast food restaurants, clothing stores, breakfast cereal companies, service and repair markets, tutoring companies and beauty salons and spas. Products and services at a beauty salon are quite similar, but these companies will use certain value propositions, such as quality of services and appealing pricing, to draw more customers. They may even advertise brand-name beauty products that are themselves in monopolistic competition — there is little that separates makeup and hair products, as far as what constitutes these products and their use. Producers freely enter the market when profits are attractive. There is easy entry and exit in monopolistic competition.

Oligopoly

An oligopoly is dominated by a few firms, resulting in limited competition. They can collaborate with or compete against each other to use their collective market power to drive up prices and earn more profit.

Entering into an oligopoly is difficult. The most powerful companies have control over raw materials, patents and financial and physical resources that create barriers for potential entries. This is what helps set high prices. However, if prices are too high, buyers will head to product substitutes in the market.

Products may be homogenous or differentiated. Typically, there are three to five dominant firms, but this number can vary depending on the market. For instance, video gaming consoles are an oligopoly with three companies — Microsoft, Sony and Nintendo — dominating the market. Other examples of oligopolies are the automobile and gasoline industries.

Pricing, profits and production levels change as the dynamic relationship between sellers and buyers' changes.

Pure Monopoly

A monopoly exists when there's a single firm that controls the entire market. The firm and industry are synonymous. This firm is the sole producer of a product, and there are no close substitutes. Because there are no alternatives, the firm has the highest level of market power. Hence, monopolists often reduce output, increase prices and earn more profit.

Entry or exit is blocked in a pure monopoly. This can occur for more than one reason, as seen in two of the best examples for pure monopolies: public utilities and professional sports leagues.

Public utilities are considered natural monopolies because they have economies of scale — a firm receives certain cost advantages due to its size — in an extreme way. New firms cannot start up because it would be incredibly expensive to reach scale in a short amount of time. Building a maze of pipes and wires to be able to compete with the firm would

require a lot of capital, and there would be legal barriers to entry. That's why there are typically government monopolies (or government regulations) for natural monopolies.

LET US PRACTICE

1. What are market structures?

_____

_____

_____

2. List the four different types of market structures. Write a short description about its characteristics.

LET US REMEMBER

Comparing Market Types

Type of Market	Number of Producers	Kind of Competition	Barriers to Entry	Another Name for Firms	Special Traits
Monopoly	One	None	No entry possible	Price-setter	Only one firm
Oligopoly	A few	Primarily non-price competition	Medium barriers (difficult entry)	N/A	Firms can collude and behave as a monopolist
Monopolistic Competition	Many	Non-price competition; price competition	Low barriers (easy entry)	Price-maker	Product differentiation and branding
Perfect Competition	A great many	Price competition	No barriers (free entry)	Price-taker	Perfectly elastic demand

https://mrshearingeconomics.weebly.com/market-structures.html

LET US APPRECIATE

Firms in a perfectly competitive market are said to be price takers—that is, once the market determines an equilibrium price for the product, firms must accept this price. If you sell a product in a perfectly competitive market, but you are not happy with its price, would you raise the price, even by a cent?

LET US PRACTICE MORE (Written Works)

In the space provided write O if the statement describes an oligopoly, M if the sentence describes a monopoly, PC if the sentence describes pure competition, and MC if monopolistic competition. _____ 1. This is the most common type of noncompetitive market found in the United States.

_____ 2. Cartels sometimes occur in this type of noncompetitive market.

_____3. A lack of close substitute goods reinforces this type of noncompetitive market.

_____ 4. This is a market structure in which a few large sellers' control most of the production of a product.

_____ 5. This is a market structure in which one seller controls the total production of a product.

_____6. Agricultural products are examples of this market structure.

_____7. Examples include fast food restaurants, clothing stores, breakfast cereal companies, service and repair markets, tutoring companies and beauty salons and spas.

_____8. a market structure defined by many small firms competing against each other.

_____9. The products are remarkably similar, but small differences become the basis for firms' marketing and advertising.

_____10. Products are identical to competitors' products, and there are no significant barriers to entering and exiting the market.

EVALUATION (Performance Task)

MULTIPLE CHOICE. Choose the letter of the BEST answer and write it on the space before each number.

1) What is the difference between perfect competition and monopolistic competition?

A) Perfect competition has many small firms while monopolistic competition does not.

B) In perfect competition, firms produce identical goods, while in monopolistic competition, firms produce slightly different goods.

C) Perfect competition has no barriers to entry, while monopolistic competition does.

D) Perfect competition has barriers to entry while monopolistic competition does not.

2) The market type known as perfect competition is
A) almost free from competition and firms earn large profits.
B) highly competitive and firms find it impossible to earn an economic profit in the long run. C) dominated by fierce advertising campaigns.
D) marked by firms continuously trying to change their products so that consumers prefer their product to their competitors' products.
3) Which of the following is the best example of a perfectly competitive market? A) diamonds B) athletic shoes C) soft drinks D) farming
4. A monopoly is a market with _____
A) no barriers to entry.
B) many substitutes.
C) many suppliers.
D) one supplier
5. In monopolistic competition, each firm supplies a small part of the market. This occurs because
A) there are barriers to entry.
B) firms produce differentiated products.
C) there are no barriers to entry.
D) there are many firms
6. A differentiated product has A) many perfect substitutes. B) close but not perfect substitutes. C) no close substitutes. D) no substitutes of any kind.
7. A barrier to entry is
A) an open door.
B) the economic term for diseconomies of scale.
C) illegal in most markets.
D) anything that protects a firm from the arrival of new competitors.
8. Which of the following market types has only a few competing firms?
A) perfect competition
B) monopolistic competition
C) monopoly
D) oligopoly
9. Which of the following market types has many firms that sell similar but slightly different products?
A) perfect competition
B) oligopoly
C) monopolistic competition
D) monopoly
10. Firms face competition when the good they produce
A) is in a market with natural barriers to entry.
B) is unique.
C) is in a market with legal barriers to entry.
D) has a close substitute.

References:

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